

endowment bias than people who would be willing to reallocate, even into unfamiliar territory, at a financial advisor's request.

Question 3: Respondents who estimate that they'd be willing to tolerate the imbalance caused by the redundant GE holdings are probably susceptible to endowment bias.

ADVICE

Generally, endowment bias tends to impact investors in four main contexts: (1) inherited securities, (2) purchased securities, (3) commission aversion, and (4) desire for familiarity. Advice can be tailored, specifically, to address each case.

Inherited securities. If you are a professional wealth advisor and you realize that a client's decisions regarding inherited securities, or any other pertinent asset, are being compromised by endowment bias, then asking the client carefully targeted questions is often a useful first step. This way, you can lead clients to discover the "correct" conclusion themselves. In the case of an inherited security, for example, you might ask: "If you had received, as cash, the current value of this security, what portion of that inheritance would you allocate into this specific security?" Often, the answer is none or very little. It can also be useful to explore the deceased's intent in owning the security. "Do you think that Uncle John's primary intent was to leave you this specific number of shares of this specific security? Is it possible that he was concerned about your general financial security?" Again, clients usually affirm the latter conclusion, paving the way to a more sensible allocation. If the client does believe that his or her deceased relative valued, specifically, the opportunity to bequeath holdings in this exact security, then you might need to try a different line of questioning: "Okay, Uncle John wanted you to have these shares. But, if he really didn't want you to sell them, then . . . what did he want you to do with them?" Stressing the achievement of financial goals usually persuades the client to listen to facts about how selling enhances the chances of achieving a favorable outcome.

Purchased securities. A similar line of questioning can also help determine if clients are biased in the area of purchased securities, for example, "If you had to convert your current holdings in Security XYZ into cash and then allocate that cash as you see fit, would you end using it to purchase more of Security XYZ? Do you think